

strategy. The rebalancing strategy that is best for you is the one you will implement without hesitation or procrastination. What works for you may not be what works for someone else. It does not make much difference, as long as it is done.

[Table 3-1](#) offers a hypothetical example of how annual rebalancing reduces portfolio risk and increases annual return. The table assumes that two different investments are held over a two-year period. The first portfolio in [Table 3-1](#) assumes that no rebalancing is done. This is the “let it ride” portfolio. The money placed in each investment at the beginning of Year 1 is allowed to “ride” untouched into the next year. The second portfolio assumes rebalancing after one year back to 50 percent in each investment. Part of the gain from the investment that went up is shifted into the investment that went down so that both investments have an equal amount at the beginning of Year 2.

TABLE 3-1
Annual Rebalancing Example

Investments	Return in Year 1	Return in Year 2	Compounded Return
Investment 1	+20%	−10%	3.9%
Investment 2	−10%	+20%	3.9%
Hypothetical Portfolios			
50% Investment 1 and 50% Investment 2, no rebalancing (let it ride)	5.0%	2.9%	3.9%
50% Investment 1 and 50% Investment 2, rebalanced annually	5.0%	5.0%	5.0%

Notice how differently the “let it ride” portfolio behaved compared to the rebalanced portfolio. Individually, both Investment 1 and Investment 2 earned a 3.9 percent compounded return over the two-year period. This means that the “let it ride” portfolio with 50 percent in each investment to start also has a compounded two-year return of 3.9 percent. However, a